

Total cost to the government will be _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

7500

Corporate Finance

Section Id :	64065382770
Section Number :	13
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	20
Number of Questions to be attempted :	20
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653182010
Question Shuffling Allowed :	No

Question Number : 241 Question Id : 6406531175366 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533960337. ✓ YES

6406533960338. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653182011

Question Shuffling Allowed :

Yes

Question Number : 242 Question Id : 6406531175367 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements is **incorrect**?

Options :

6406533960339. ✗ Debt creditors are paid off first, and then, the equity owners are paid off.

6406533960340. ✗ Debt creditor bears less risk in comparison to equity owner.

6406533960341. ✓ Debt creditors share the profit earned by the concerned project.

6406533960342. ✗ Debt financing does not provide ownership rights.

Question Number : 243 Question Id : 6406531175368 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

At the optimal consumption point

Options :

6406533960343. ✗ The slope of the budget line is more than the marginal rate of substitution.

6406533960344. ✗ The consumer does not consume his whole income.

6406533960345. ✓ The budget line is tangent to the indifference curve.

6406533960346. ✗ The marginal utility of the goods is the same.

Question Number : 244 Question Id : 6406531175369 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the potential risk of short selling?

Options :

6406533960347. ✗ Limited loss potential

6406533960348. ✗ Unlimited profit potential

6406533960349. ✓ Unlimited loss potential

6406533960350. ✗ No financial risk

Question Number : 245 Question Id : 6406531175370 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements is **correct**?

Options :

6406533960351. ✖ The feasible set is a subset of the minimum variance set.

6406533960352. ✖ The global minimum variance portfolio is the optimal portfolio for the investor.

6406533960353. ✔ The efficient frontier is a subset of the minimum variance set.

6406533960354. ✖ Investors with varying degree of risk-aversion have different optimal risky portfolio.

Question Number : 246 Question Id : 6406531175371 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

If the utility function of an individual is a linear function over wealth, what can we say about the individual's risk attitude?

Options :

6406533960355. ✔ The individual is risk neutral

6406533960356. ✖ The individual is risk averse

6406533960357. ✖ The individual is risk lover

6406533960358. ✖ None of the other options

Question Number : 247 Question Id : 6406531175372 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A borrower is called insolvent if

Options :

6406533960359. ✖ His capital exceeds his assets.

6406533960360. ✔ His liabilities exceed his assets.

6406533960361. ✖ His assets exceed his liabilities.

6406533960362. ✖ His liabilities exceed his capital.

Question Number : 248 Question Id : 6406531175373 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Sarah has mean-variance preferences represented by the utility function $U = 2\mu - 10\sigma^2$, where μ is the expected rate of return and σ is the standard deviation of the rate of return. He is considering two assets A and B: asset A has a 12% rate of return with 0.40 probability and a 18% rate of return with 0.60 probability, whereas asset B has a 28% rate of return with 0.50 probability and an 8% rate of return with 0.50 probability. Suppose Sarah has to choose between investing in asset A only or asset B only. Which asset would Sarah prefer?

Options :

- 6406533960363. ✓ Asset A
- 6406533960364. ✗ Asset B
- 6406533960365. ✗ Sarah is indifferent between the two assets
- 6406533960366. ✗ Information is not sufficient.

Question Number : 249 Question Id : 6406531175374 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What would be the fair price of a bet that pays 100 with a 20% probability, pays 80 with a 40% probability and pays 60 with a 40% probability?

Options :

- 6406533960367. ✗ 84
- 6406533960368. ✗ 48
- 6406533960369. ✗ 52
- 6406533960370. ✓ 76

Question Number : 250 Question Id : 6406531175375 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose a 1-year government bond is offering an 8% rate of return. Sumit has Rs 20,000, which he can invest in government bonds or lend to his friend Ramesh. He believes that Ramesh will pay back the promised amount with a 75% probability and will pay back nothing with a 25% probability. Assume that Sumit is risk neutral. What is the default premium that Sumit should ask from Ramesh?

Options :

- 6406533960371. ✗ 37%
- 6406533960372. ✓ 36%
- 6406533960373. ✗ 17%
- 6406533960374. ✗ 10%

Question Number : 251 Question Id : 6406531175376 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Axis Bank has assets of 1500 units, liabilities of 750 units and capital of 750 units. What is the leverage ratio for Axis Bank?

Options :

6406533960375. ✖ 4

6406533960376. ✖ 3

6406533960377. ✔ 2

6406533960378. ✖ 0.5

Question Number : 252 Question Id : 6406531175377 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

There are two assets: a risk-free asset that offers a 6% rate of return and a risky asset that has an expected rate of return of 24% and a standard deviation of 9%. What is the slope of the budget line of a portfolio consisting of these two assets (Note: standard deviation of portfolio return is on horizontal axis and expected return of portfolio is on vertical axis)?

Options :

6406533960379. ✖ 2.5

6406533960380. ✖ -2.5

6406533960381. ✔ 2

6406533960382. ✖ -2

Question Number : 253 Question Id : 6406531175378 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Asset A has a correlation of 0.4 with the market and a standard deviation of 16%. If the market return has a standard deviation of 4%, what is the beta of asset A?

Options :

6406533960383. ✔ 1.6

6406533960384. ✖ -0.6

6406533960385. ✖ 0.75

6406533960386. ✖ 2.5

Question Number : 254 Question Id : 6406531175379 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You create a portfolio of 9 identical assets that have an expected return of 22% and a standard deviation of 12%. These 9 assets are uncorrelated with each other. What is the standard deviation of your portfolio?

Options :

6406533960387. ✖ 32%

6406533960388. ✖ 12%

6406533960389. ✖ 8%

6406533960390. ✔ 4%

Question Number : 255 Question Id : 6406531175380 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A grocery store can be worth 100 thousand in two years with a 35% probability or 200 thousand in two years with a 65% probability, depending on local consumer demand. The appropriate cost of capital is 12% per year. What is the present value of the outlet? (up to two decimal points)

Options :

6406533960391. ✖ 147.32 thousand

6406533960392. ✔ 131.54 thousand

6406533960393. ✖ 119.98 thousand

6406533960394. ✖ 110.50 thousand

Question Number : 256 Question Id : 6406531175381 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose that the risk-free rate of return is 8% and the expected market return is 18%.

If the beta of an asset is 1.5, then what is the expected return of the asset according to the capital asset pricing model? ($r_i = r_f + \beta_i(r_m - r_f)$)

Options :

6406533960395. ✖ 7%

6406533960396. ✖ 19%

6406533960397. ✖ 15%

6406533960398. ✔ 23%

Question Number : 257 Question Id : 6406531175382 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose Rakesh decides to short sell 50 shares of Wipro Inc. The current share price for Wipro Inc is Rs 200. At the end of 1 year, share price for Wipro Inc drops to Rs 190. How much profit does Rakesh makes by exercising shorting on Wipro Inc shares?

Options :

6406533960399. ✖ Rs 190

6406533960400. ✖ Rs 200

6406533960401. ✔ Rs 500

6406533960402. ✖ Rs 1000

Sub-Section Number : 3
Sub-Section Id : 640653182012
Question Shuffling Allowed : No

Question Id : 6406531175383 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (258 to 259)

Question Label : Comprehension

You purchase a farm located near a river for 500 thousand units. You believe that there is a 4% chance of flooding in the river in the next year. If there is a flood, the produce in the farm gets destroyed, and the total payoff is 240 thousand units in the next year; otherwise, the farm generates a payoff of 600 thousand units in the next year. The appropriate cost of capital is 20% per year. Suppose you finance your purchase with a loan of 400 thousand units and the remaining amount as equity.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 258 Question Id : 6406531175384 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What would be the appropriate promised rate of return that the creditor of the loan would demand?

Options :

6406533960403. ✖ 10.69%

6406533960404. ✔ 22.50%

6406533960405. ✖ 25.50%

6406533960406. ✖ 31.43%

Question Number : 259 Question Id : 6406531175385 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the expected payoff for the equity owner in the next year?

Options :

6406533960407. ✔ 105.6 thousand

6406533960408. ✖ 250 thousand

6406533960409. ✖ 100.75 thousand

6406533960410. ✖ 40 thousand

Question Id : 6406531175386 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (260 to 261)

Question Label : Comprehension

Nikita works as a stuntwoman who has a utility function of the form $U(x) = \sqrt{2x}$.

If she is not injured, she expects to get 800 units per day for doing stunts in the movies. If she gets injured, she will have to take a job that pays her 200 units per day.

There is a 25% chance that Nikita will be injured.

Based on the above data, answer the given subquestions.

Sub questions**Question Number : 260 Question Id : 6406531175387 Question Type : MCQ****Correct Marks : 4**

Question Label : Multiple Choice Question

What is Nikita's expected utility?

Options :

6406533960411. ✖ 100

6406533960412. ✖ 37.2

6406533960413. ✖ 24.0

6406533960414. ✔ 35.0

Question Number : 261 Question Id : 6406531175388 Question Type : MCQ**Correct Marks : 4**

Question Label : Multiple Choice Question

If Nikita pays p for an insurance policy that would pay her 600 units if she suffered a severe injury, then she would be sure to have an income of $800-p$ regardless of whether she is injured. What would be the largest price that Nikita would be willing to pay for such insurance?

Options :

6406533960415. ✖ 16.5 units

6406533960416. ✔ 187.5 units

6406533960417. ✖ 120.5 units

6406533960418. ✖ 244.5 units

Sub-Section Number :

4

Sub-Section Id :

640653182013

Question Shuffling Allowed :

No

Question Id : 6406531175389 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix**Question Numbers : (262 to 266)**

Question Label : Comprehension

Suppose there are two assets with $\bar{r}_1 = 0.15$, $\bar{r}_2 = 0.20$, $\sigma_1 = 0.25$, $\sigma_2 = 0.30$, $\sigma_{12} = 0.04$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 262 Question Id : 6406531175390 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A portfolio is formed with 60% of wealth invested in Asset 1 and 40% of wealth invested in Asset 2. What would be the expected rate of return of the portfolio?

Options :

6406533960419. ✖ 0.14

6406533960420. ✖ 0.16

6406533960421. ✔ 0.17

6406533960422. ✖ 0.18

Question Number : 263 Question Id : 6406531175391 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What would be the standard deviation of the rate of return of the portfolio?

Options :

6406533960423. ✖ 0.15

6406533960424. ✖ 0.20

6406533960425. ✔ 0.24

6406533960426. ✖ 0.29

Question Number : 264 Question Id : 6406531175392 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose you would like to construct a portfolio with an expected rate of return of 19%. What weights would you put on Asset 1 and Asset 2, respectively?

Options :

6406533960427. ✖ 40%, 60%

6406533960428. ✖ 50%, 50%

6406533960429. ✖ 30%, 70%

6406533960430. ✔ 20%, 80%

Question Number : 265 Question Id : 6406531175393 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question